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Research

Commodities

Precious Special Report

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Hawks drive out bulls

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- Fed repricing together with resilient US macro data has played the primary role in pushing gold lower. This new 'problem' became evident once gold began diverging from oil last month. Our revised base case is for gold to reach USD 4,800/oz in Q4, consistent with an indefinite Fed hold, while a risk case of pricing 3-4 Fed hikes may bring gold to USD 3,800/oz.

- The first FOMC meeting with Chair Warsh revealed no resistance to market pricing for hikes. The FOMC press conference underlined potential for a further hawkish shift, supported by a Taylor rule prescription some 80 bps higher. On the dovish side, our house call remains for an indefinite hold near neutral, market-based measures of inflation expectations are declining with oil, and the SEP dot plot median showed only one hike followed by a reversal next year compared with 48 bps priced by the market through Mar'27.

- The usual suspects which might provide support via investment demand are notably absent, for now. The dip in gold after the May NFP report was met by continued ETF selling, while futures open interest sits at a 17-year low, and futures net long positioning nearer the year's low than high.

- The China premium over Comex has reversed to a small discount, suggesting that China gold imports will not be a support for the market. The rationale could be that Chinese investors have less reason to diversify into gold as CNY remains on a strengthening trend, while evidence also points to a possible property market bottoming. For India, the recent hike of gold import VAT is likely to suppress demand.

- The one pillar which remains strong is central bank demand, and we expect this to be the case for some time to come as EM central banks catch up to DM central banks in gold holdings. However, official demand also has not accelerated as of Q1, so it will not compensate for otherwise slower investment demand on its own.

- All of the above suggests a neutral outlook for gold into H2, with Fed data dependency implying gold data dependency. We think structural positives remain in the form of central bank demand sustaining its higher post-2022 pace, and expansion of US federal debt outstanding at an 8% pace, above the CBO's long-term expectation of 6% growth.

Recalibrating precious forecasts

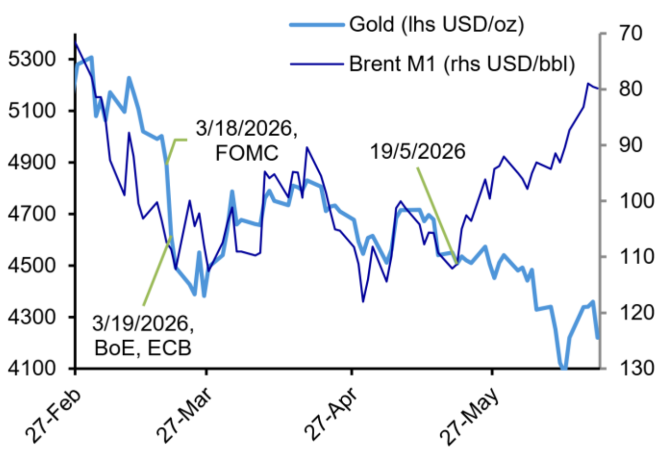
We recognise a lower forecast profile for the precious metals around which we think are risks are balanced. The challenge to gold (Link) was first most clearly linked to the energy price shock of the US-Iran war, but this relationship broke down around mid-May (Figure 2). Subsequently, gold's link to Fed pricing was more persistent and gained the upper hand over lower oil prices (Figure 3), embedding in gold the risk that inflation remaining above target would necessitate tighter monetary policy (Link).

Figure 1: Precious metal forecasts

USD/oz	2024	2025	Q1 26	Q2 26	Q3 26	Q4 26	2026	2027
Gold	2,387	3,440	4,873	4,550	4,300	4,800	4,631	5,300
% Change				*-10.8%*	*-21.8%*	*-17.2%*	*-12.9%*	*-11.7%*
Silver	28.2	40.1	83.9	74.5	65.0	73.0	74.1	80.5
% Change				*-8.0%*	*-21.7%*	*-17.0%*	*-11.8%*	*-10.6%*
Platinum	956	1,283	2,204	1,950	1,720	1,920	1,949	2,120
% Change				*-8.5%*	*-25.2%*	*-16.5%*	*-12.8%*	*-11.7%*
Palladium	983	1,151	1,706	1,400	1,300	1,450	1,464	1,535
% Change				*-12.5%*	*-18.8%*	*-9.4%*	*-10.0%*	*-9.7%*

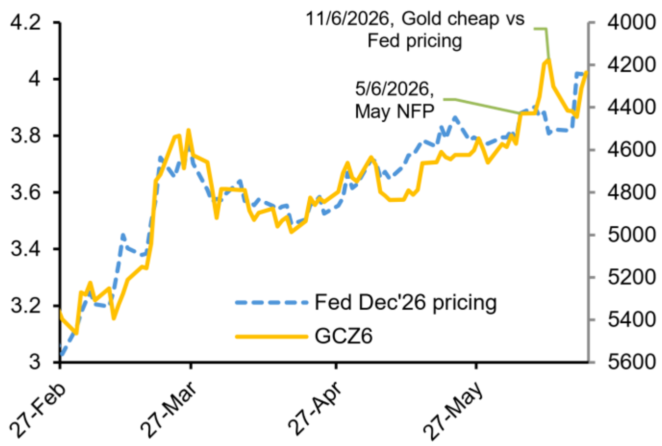
Source: Deutsche Bank Research; Figures are period averages

Figure 2: Gold negatively linked to oil in March & April



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 3: Gold linkage to Fed pricing more influential after May



Source: Bloomberg Finance LP, Deutsche Bank Research

Although the sources of inflation are quite broad-based (Link) and there are numerous reasons to doubt the disinflation narrative (Link), it is also true that market-based measures of inflation expectations are declining after the US-Iran memorandum of understanding and the beginning of higher rates of Gulf oil exports.

Policy risk scenarios

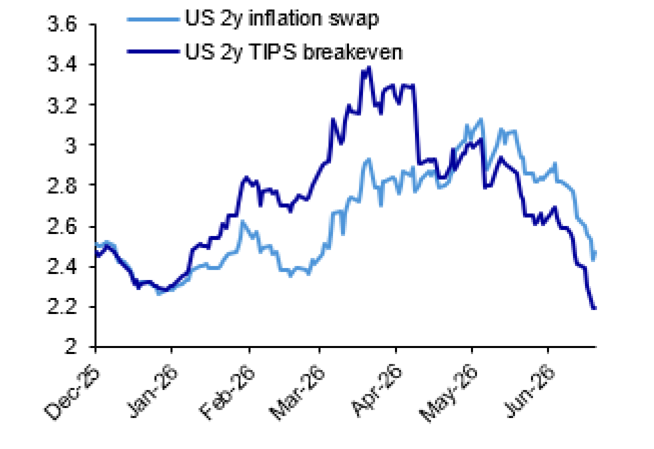
The two-sided risks from a lower Q2 starting point of precious metal prices are framed by monetary policy, which has dominated gold's move lower towards USD 4,000/oz. The Fed Chair's emphasis on data dependence and elimination of forward guidance means gold is also likely to be data dependent.

The **hawkish risk** is contained in the June FOMC meeting's confirmation of the tightening bias. Fed Chair Warsh stated that "we have missed [our inflation target] for five years, and we are going to fix that."[1] Our US Econ team explains the hawkish risk is best illustrated by the fact that around mid-2025, Fed policy was near standard policy rules, so that late 2025 Fed cuts (characterized as "insurance or risk management cuts") moved policy below those rules, just as Core PCE began to move higher (Link). The Taylor rule prescription using Bloomberg consensus year-end forecasts for Core PCE (3.1%) and unemployment (4.4%), and the Fed's SEP median estimates of the neutral real rate (1.1%) and NAIRU (4.2%) would imply a policy setting 80 bps above the Fed's current upper bound (4.55%). Across three standard policy rules, our US Econ team quantified the policy upside risk between 30-75 bps, before accounting for any change in the neutral rate estimate (Link).

On the **dovish risk**, with the Fed's elimination of forward guidance and heightened data dependency, the appearance of disinflationary data could well reduce the market's Fed pricing from the current peak of +44 bps for March 2027. Our house view remains of a Fed on indefinite hold near neutral (Link), although June FOMC "crystallised risks for rate hikes" (Link). The US-Iran memorandum of understanding, increase in shipping flows through the Strait of Hormuz, steep drop in oil prices, inflation swaps and TIPS breakevens all point to reasons why the Fed should be marginally less inclined to hike (Figure 4). If extended, this may form an important part of the data landscape that the FOMC consider at the July meeting. Supporting that line of thought, our team published an optimistic dbDataInsights survey indicating that the inflation shock may have peaked (Link), and year-end Bloomberg consensus forecasts for Core PCE are at 3.1% versus the most recent 3.3%.

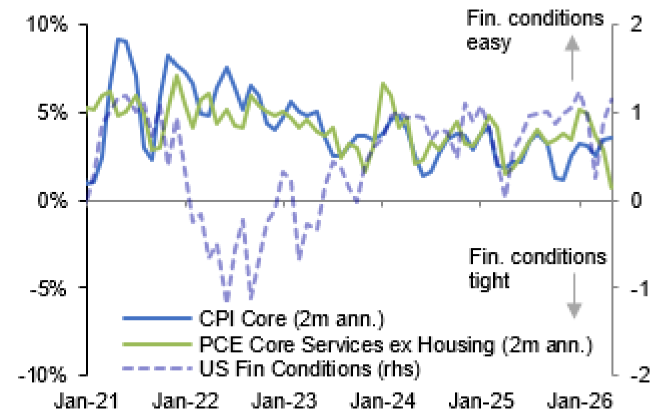
[1] "Chairman Kevin Warsh: Fed's missed on inflation for five years and we're going to fix that", CNBC, 18 Jun 2026, { https://www.cnbc.com/video/2026/06/17/chairman-kevin-warsh-feds-missed-on-inflation-for-five-years-and-were-going-to-fix-that.html }

Figure 4: Market-based measures of inflation expectations decline



Source: Bloomberg Finance LP, Deutsche Bank Research

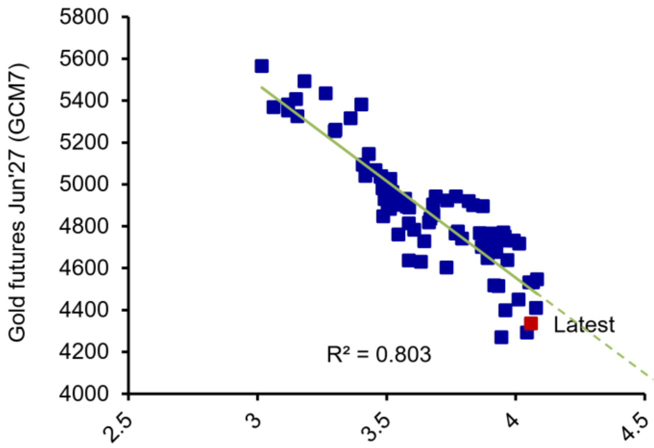
Figure 5: US FCI index eased since March



Source: Bloomberg Finance LP, Deutsche Bank Research

Last but not least, Fed Chair Warsh was equivocal on the nature of the current policy setting. Chair Warsh indicated that "Broadly I would say there Fed policy appears to be somewhat restrictive"[2] in the context of the housing market, but less so when viewed in the context of financial markets ("And the best way I can describe is it's uneven")[3]. For what it's worth, Bloomberg's FCI index shows a marked loosening since March (Figure 5). We think the conclusion is that Chair Warsh does not express an obvious inclination to adopt a higher estimate of real neutral as estimated by our US Econ at 1.6% versus 1.1% according to the Fed's SEP longer-run median.

Figure 6: Fed Jun'27 pricing to gold regression tighter since March (R2=0.80) than since December (R2=0.28)



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 7: Monetary policy scenarios and gold futures

	Gold Dec'26 futures	Gold Jun'27 futures
Jun'27 Fed at 4.55% (Taylor rule on consensus fcast)	3,940	4,040
Jun'27 Fed at 4.11% (current pricing)	4,350	4,450
Jun'27 Fed at 3.63% (current Fed effective rate)	4,790	4,900
Prices as of 22-Jun	4,274	4,374

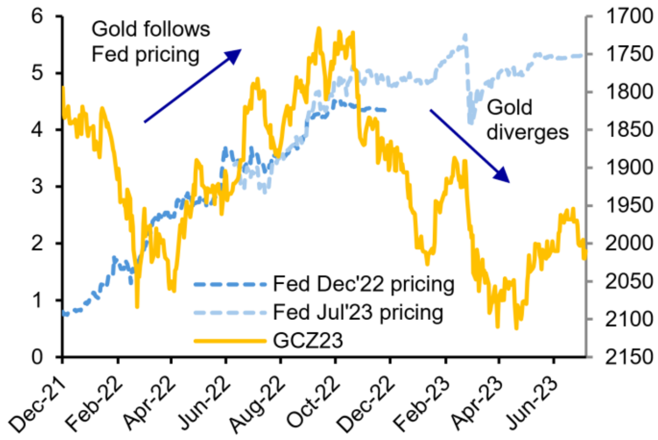
Source: Bloomberg Finance LP, Deutsche Bank Research

[2] "Fed Rate Decision and Warsh Briefing", Top Live Blogs, Bloomberg Finance LP, 17 Jun 2026.
[3] "Transcript of Chairman Warsh's Press Conference Opening Statement", Federal Reserve Media Center, 17 Jun 2026, { https://www.federalreserve.gov/mediacenter/files/FOMCpresconf20260617.pdf}

Recent tightening examples

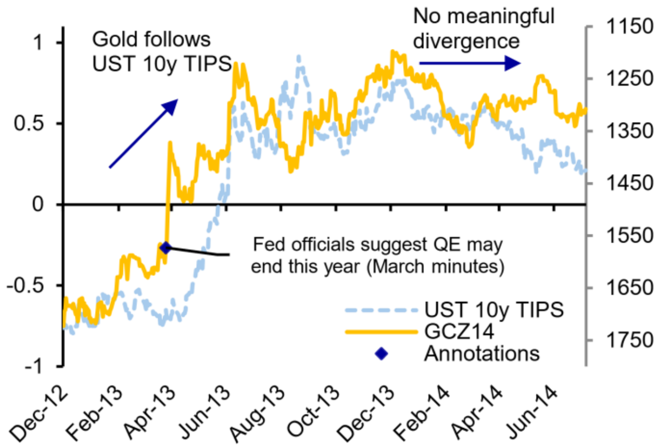
If market pricing of Fed policy remains the only variable, then our revised year-end forecast of USD 4,800/oz lies toward the dovish end of the spectrum (Figure 7). However, the history of the gold market is one that reflects a constant shifting of drivers, and the 2022-23 example is worth recalling. Well before the last hike of the cycle was realized in July 2023, gold had diverged from a formerly tight relationship with Fed rates pricing around November 2022 (Figure 8). As a counterexample, gold did not meaningfully diverge from 10y TIPS after the Fed QE tapering shock of 2013, Figure 9.

Figure 8: Gold and Fed hiking cycle over 2022-23



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 9: Gold and 10y TIPS in 2013-14



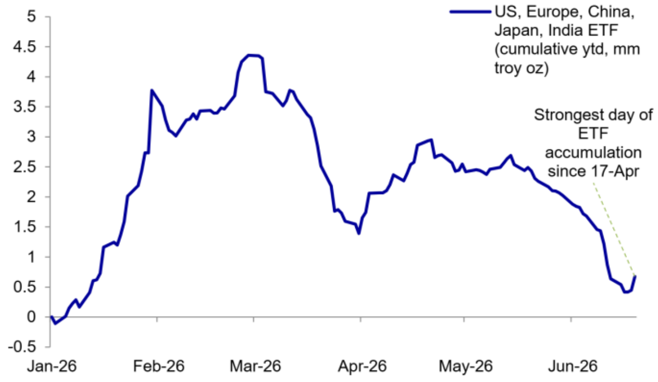
Source: Bloomberg Finance LP, Deutsche Bank Research

Short-term flow factors appear weak

We look at three components of short-term flow which are not encouraging at this moment in time. **First**, ETF assets across US, Europe, China, Japan and India have reached a new low for the year. Since 11-Jun, ETF investors have been sellers into the rise in gold prices, Figure 10, with the exception of last Friday 19-Jun which marked the strongest day of gold ETF accumulation since 17-Apr. This is certainly worth watching as a possible turning point. At the same time, futures open interest for gold stands at a 17-year low, and futures net long positioning is closer to the low of the year than the high. For the time being, it does not appear that either ETF flows or futures investment (measured in contracts) are poised to return to Q1 highs.

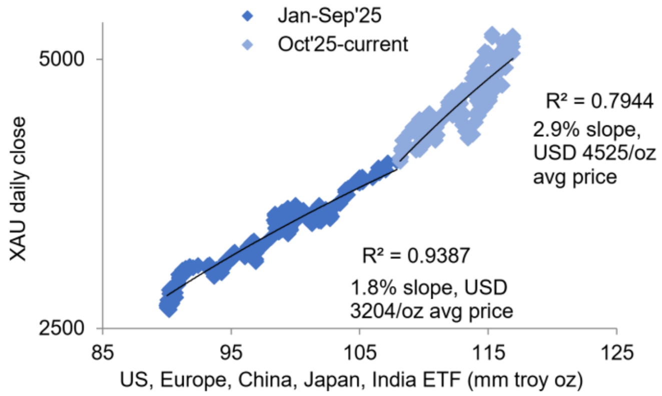
As an aside, we observe that gold price changes are associated with ever-smaller volumes of ETF investment or redemption, Figure 11. This is a further progression from the stable sensitivity viewed over the 2003-2022 period, when it could be estimated that 1 mm troy oz of investment or disinvestment could drive a gold price change of 1%. Over the Jan-Sep’25 period, that sensitivity appears to have risen to 1.8% (using the midpoint of the gold price range), and to as much as 2.9% in the Oct’25-current period. The roughly unchanged size of the gold market in annual ounces would suggest that this may be the result of similarly timed but unobserved investment flows in less transparent venues like the OTC market. The recent sensitivity would also imply that to attain a gold price of USD 4,800/oz, ETF year-to-date inflow would have to rise to 5 mm troy oz, just above the year-to-date high.

Figure 10: ETF investment nearly zero year to date; would need to rise to 5 mm troy oz to imply gold at USD 4,800/oz



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 11: Gold progressively responding more steeply to any given ETF volume change



Source: Bloomberg Finance LP, Deutsche Bank Research

Second, China and India gold import demand has been holding up well and even rising since January, but forward signals are negative. The China SGE differential to Comex has just recently turned to a discount after a long period of premiums (Figure 13). Since there is a positive relationship between SGE differential and China import demand (Figure 14), the latter can no longer be considered as a support for the market. Today's climate of CNY strength means there is no reason for authorities to withhold gold import quotas. But this also means that onshore investors have less reason to protect assets by diversification into gold. By the same token, our China economist sees the possibility of a China property bottom (Link) which works against the need for gold as an investment alternative. We also note the China central government has "moved to close informal channels between Chinese households and global capital markets".[4] For now there is no indication of any official stance on gold being regarded as either 'patriotic' or 'unpatriotic', but we should be watchful for any potential signals should they be forthcoming.

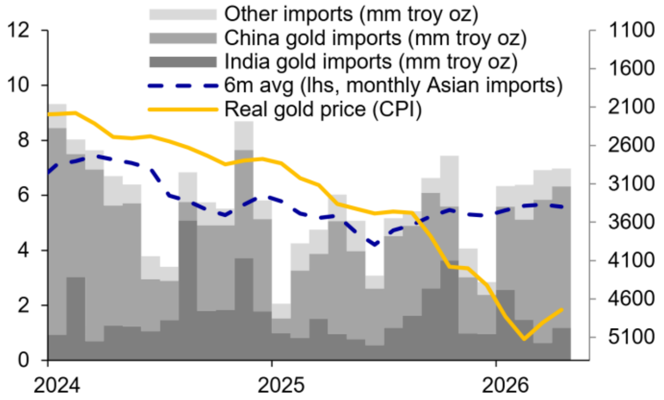
Third, the India rise in VAT on gold imports means that Indian demand may also be hampered for now, as the government has sought to limit demand for foreign currency. The initial signal was contained in Prime Minister Modi's 10-May speech urging citizens to stop buying gold for a year.[5] The policy moves followed with the rise in VAT announced on 13-May, and then on 14-May, a tightening of the rules for gold imported under tax-exempt status. Though Indian import demand was already on the lower end of the range in April at 1.2 mm troy oz, there is still room to fall and that may come alongside weaker China import demand.

A possible silver lining for demand is that India has reported grey market discounts of as much as USD 200/oz. This suggests illegal imports may rise as a

[4] "Beijing's New Message to Its Citizens: Your Money Belongs at Home", New York Times, 16 Jun 2026, { https://www.nytimes.com/2026/06/16/business/chinese-investors-restrictions.html}
[5] "Stop Buying Gold for a Year, India's Modi Says. Prices Stutter.", Barron's, 11 May 2026, { https://blinks.bloomberg.com/news/stories/TEVX0GPV4WE8}.

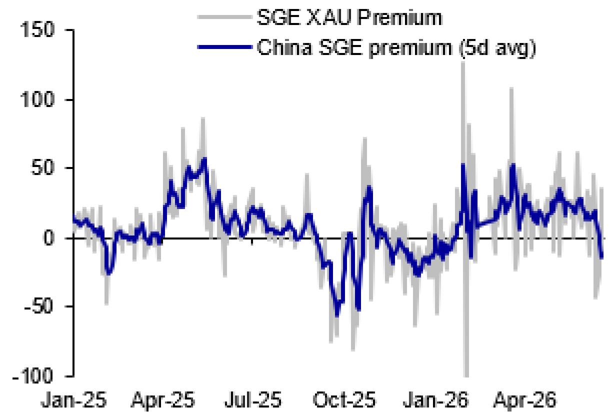
result.[6] The discount is nearly 5% of the gold price on 9-Jun when the news was reported, making for a significant share of the import duty that has risen from 6% to 15%. The relationship between duties and illegal imports is underlined by the fact that the July 2024 reduction in gold VAT was intended partly as an effort to constrain smuggling activity.[7]

Figure 12: Asian gold import demand has held up well so far



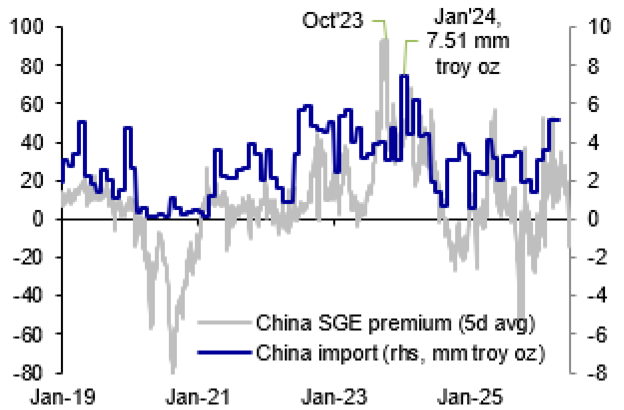
Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 13: But the China onshore gold premium has turned to discount (USD/oz)



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 14: China discount or smaller premium is associated with lower gold imports



Source: Bloomberg Finance LP, Deutsche Bank Research

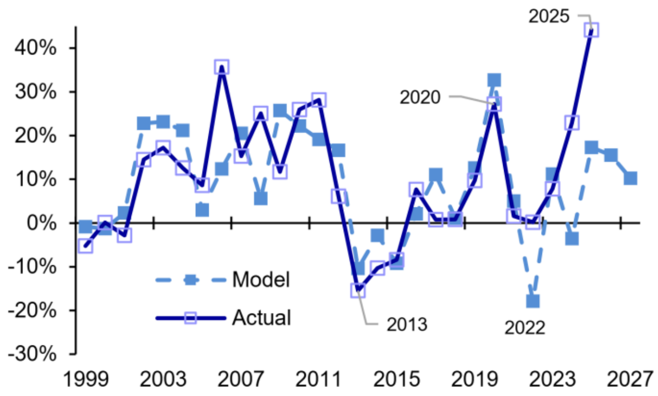
Longer-term gold drivers

The inflation and monetary policy frame of reference lowers the starting point for our forecasts, but the longer-term trajectory is likely to remain positive. **First**, we see the structural gold-positive factor of both US and global debt growth unchanged, and this remains a reason to expect gold to rise in real terms. The current annual pace of US public debt growth of 8% is running above CBO long

[6] "India's gold tariff hike fuels smuggling revival, squeezes banks and refiners", Economic Times, 9 Jun 2026, { https://economictimes.indiatimes.com/news/economy/foreign-trade/indias-gold-tariff-hike-fuels-smuggling-revival-squeezes-banks-and-refiners/articleshow/131607889.cms}
[7] "India more than doubles tariffs on gold imports", Financial Times, 13 May 2026, { https://www.ft.com/content/99e57544-97a6-4a39-aa2f-13dce681038b}

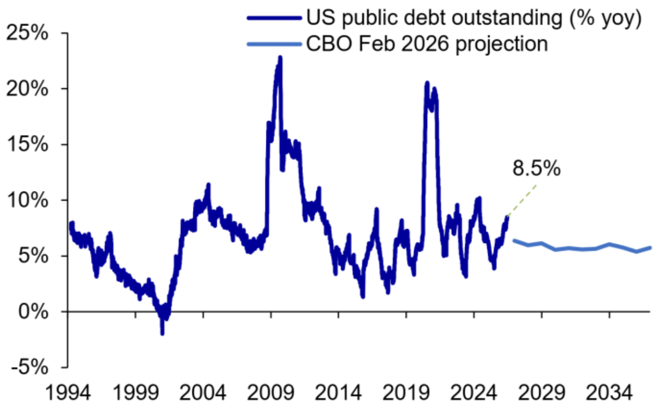
term projections of 6%. Given that our model assumes a roughly one-to-one impact on gold prices (Link), we think these figures are likely to support gold appreciation over 2026 and 2027 that is steeper than the 4.6% slope in the gold futures curve (Aug'27 vs Aug'26).

Figure 15: Long-term gold model sees debt growth as structurally positive driver



Source: Bloomberg Finance LP, Deutsche Bank Research

Figure 16: US public debt growth faster than CBO projection



Source: Bloomberg Finance LP, Deutsche Bank Research

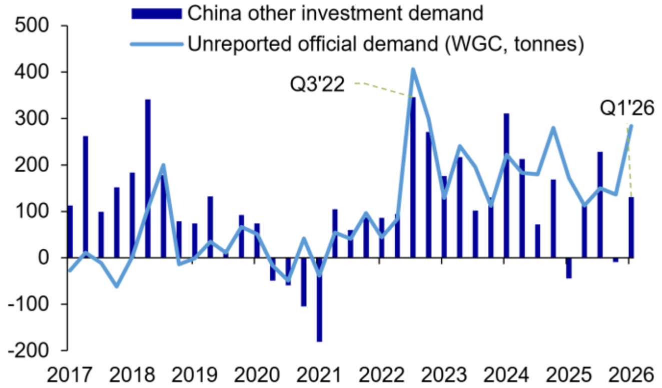
Second, the higher pace of central bank demand since 2022 may also be structural in nature; it is a form of demand that we see as elastic and driving the price of gold, Figure 21. We think that central bank accumulation has been a key factor explaining recent gold outperformance versus model (Link). Plus, EM central banks likely have further room to go in building up gold reserves, as they still hold only half the gold held by DM central banks (Link). Short-term data suggest this trend is continuing. In fact, in recent quarters the unreported component of official demand has been higher than we expected from measuring China "other investment demand", calculated as China gold supply (production and imports) from which we subtract known categories of demand (Link), Figure 17. The longer-term relationship remains reasonable, Figure 18.

According to both Q1 estimated data and the World Gold Council's 2026 survey, reserve managers have a similarly strong inclination to add to gold reserves as they did last year. In USD real terms, gold purchases rose to a new record high of USD 38.9bn in the first quarter (Figure 19). The OMFIF reserve manager survey will be released at the end of June which we expect to broadly confirm the WGC results. The fact that jewellery demand also shrank in the first quarter, is consistent with the narrative of inelastic demand outcompeting elastic demand for the roughly fixed volume of gold supply (Link). In fact, gold jewellery demand in Q1 was at the lowest since the pandemic (Q2'20), Figure 20. On a notional 10% move in gold, we would expect jewellery demand and increased recycled supply to compensate for an increase in ETF and official demand, Figure 21. The moderate ETF selling in Q2 along with a lower gold price suggests jewellery demand may now have room to re-expand slightly from the very low point in Q1.

Outlining the picture for H2

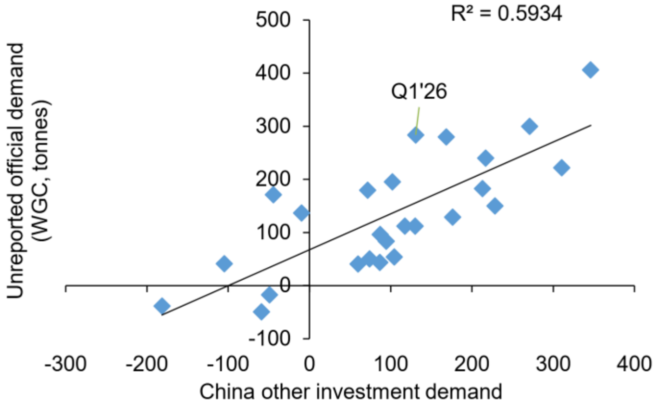
All in all, we think gold's repricing is a function of expectations of tighter monetary policy. While there are two-sided risks to this, a Fed tightening cycle would seem to have limited room to run, certainly in comparison with the 2022-23 tightening cycle. The hawkish risk case is that data pointing to 80 bps of tightening may result in gold pricing around USD 3,800/oz. On the dovish side, a continuation of weaker oil prices and lower breakevens may help to support the argument for a hold at the July FOMC, and reduce some of the tightening currently priced. Should Core PCE disinflation follow DB and consensus forecasts, this would also be more supportive of gold towards USD 4,800/oz. In the short term, investment flows appear discouraging while central bank demand remains the most supportive pillar.

Figure 17: Unreported official demand higher than expected in Q1



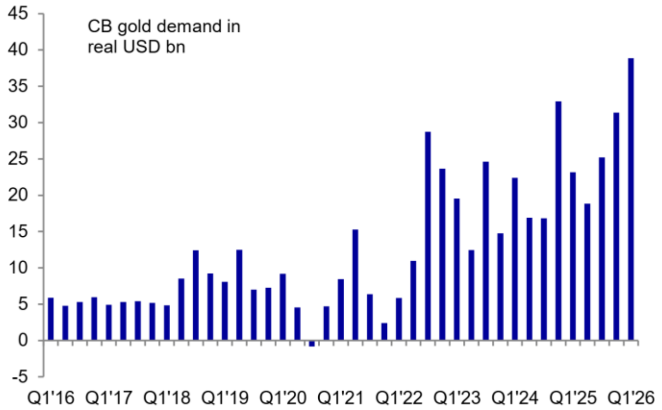
Source: World Gold Council, Bloomberg Finance LP, Deutsche Bank Research

Figure 18: Relationship between unreported official demand and China still reasonably strong



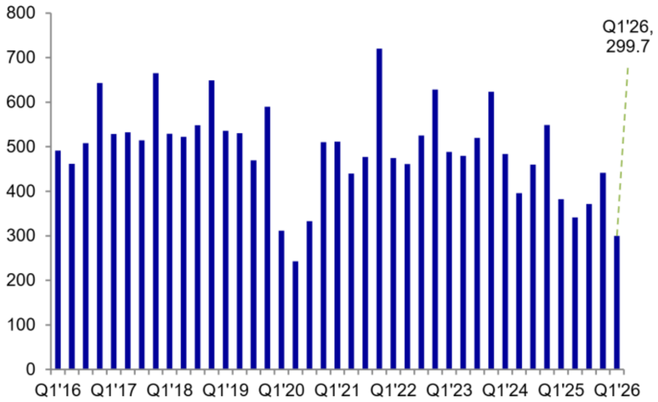
Source: World Gold Council, Bloomberg Finance LP, Deutsche Bank Research

Figure 19: Q1 official demand highest yet in real USD terms



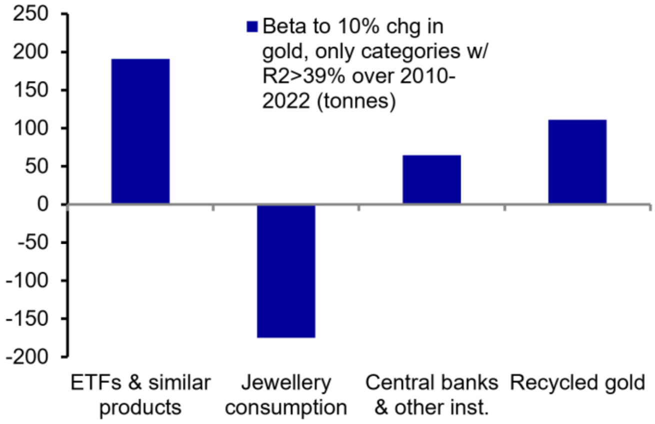
Source: World Gold Council, Deutsche Bank Research

Figure 20: Q1 jewellery demand sees lowest quarter since Q2-20



Source: World Gold Council, Deutsche Bank Research

Figure 21: Jewellery demand is typically elastic, yielding supply to inelastic demand (ETF and CB)



Source: World Gold Council, Bloomberg Finance LP, Deutsche Bank Research

Appendix 1

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